



PAPER ID-310317

Printed Page: 1 of 2
Subject Code: BMBAI302

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MBA-INT
(SEM III) THEORY EXAMINATION 2025-26
FINANCIAL MANAGEMENT

TIME: 3 HRS**M.MARKS: 70****Note:** Attempt all Sections. In case of any missing data, choose suitably.**SECTION A****1. Attempt all questions in brief.****02 x 7 = 14**

Q no.	Question	CO	Level
a.	Define 'Time Value of Money'.	CO1	K1
b.	Differentiate between Profit Maximization and Wealth Maximization objectives	CO2	K1
c.	What is meant by 'Mutually Exclusive Projects' in capital budgeting?	CO2	K1
d.	Define Financial Leverage.	CO3	K1
e.	What is 'Cost of Retained Earnings'?	CO4	K1
f.	State the assumptions of Walter's Model of Dividend Decision.	CO5	K2
g.	Distinguish between Gross Working Capital and Net Working Capital.	CO2	K1

SECTION B**2. Attempt any three of the following:****07 x 3 = 21**

a.	Discuss the scope of Finance and explain the key functions of a Finance Manager in the modern age.	CO1	K2
b.	Capital Budgeting decisions are irreversible and involve huge funds." Discuss the significance and process of capital budgeting in light of this statement.	CO1	K2
c.	Explain the factors influencing the Capital Structure of a firm. What is meant by an 'Optimum Capital Structure'?	CO3	K2
d.	Critically examine Modigliani-Miller (M-M) Model of dividend irrelevance, along with its assumptions.	CO4	K3
e.	Define Working Capital Cycle. Explain the various factors affecting the working capital requirements of a business concern.	CO5	K2

SECTION C**3. Attempt any one part of the following:****07 x 1 = 07**

a.	Explain the three major Financial Decision Areas. How are they interrelated?	CO1	K2
b.	Detail the concepts of Risk and Return analysis. How is risk measured in financial decisions?	CO1	K3

4. Attempt any one part of the following:**07 x 1 = 07**

a.	Compare and contrast Net Present Value (NPV) and Internal Rate of Return (IRR) techniques of capital budgeting. Which technique is superior and why?	CO2	K4
b.	Explain the concept of Operating Leverage and Combined Leverage. Discuss their implications on the risk profile of a firm.	CO2	K2



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5. Attempt any one part of the following:

07 x 1 = 07

a.	What is Weighted Average Cost of Capital (WACC)? Explain the steps involved in calculating WACC and its implications in financial decision making.	CO3	K3
b.	Explain the Net Income (NI) Approach and Net Operating Income (NOI) Approach theories of Capital Structure with the help of diagrams.	CO3	K2

6. Attempt any one part of the following:

07 x 1 = 07

a.	Explain Gordon's Model of dividend policy. How does it differ from Walter's Model?	CO4	K3
b.	Discuss the various forms of dividends. Explain the practical determinants that affect dividend payout decisions in a corporate setup.	CO4	K2

7. Attempt any one part of the following:

07 x 1 = 07

a.	Discuss the Objectives of Cash Management. Explain the different models of cash management.	CO5	K2
b.	Write short notes on i) Sources of Short-term Finance ii) Techniques of Inventory Management. https://www.aktuonline.com	CO5	K2

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